Moral Hazard with Dual Risk-Averse Agent

Yusuke Yamaguchi

The University of Osaka and Toulouse School of Economics

September 2025

Abstract

This paper studies a stylized moral hazard problem with a single agent protected by the limited liability constraint and is *dual risk-averse* in the sense of Yaari (1987). I analyze the principal's problem of minimizing the cost of inducing a given action when restricted to nondecreasing wage schedules with a bounded slope. Under the strict monotone likelihood ratio property, together with a specific form of risk aversion—interpreted as the agent's pessimistic belief—the solution to a relaxed problem, in which the agent's incentive compatibility constraint is replaced by its first-order condition, is a *debt contract*: the wage is constant up to a threshold and then increases with the same rate as the outcome. I also show that the first-order approach is valid if the outcome distribution is (in proportionate terms) less convex in action than the disutility of action, a condition implied by Rogerson (1985)'s Convexity of Distribution Function Condition and convex disutility. Finally, I discuss the role and importance of the bounded slope assumption.